Cumulus Bank

Commercial banking from Cumulus Bank

COMMERCIAL LENDING

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PRODUCT BROCHURE · COMMERCIAL LENDING

Business Term Loans

Fixed-rate, fully-amortizing commercial loans that finance expansion, acquisition, working-capital strengthening, and long-lived asset purchases — underwritten on cash-flow and structured with flexible collateral.

PRODUCT TYPE	Fixed-rate, fully-amortizing commercial term loan
LOAN AMOUNTS	$50,000 – $5,000,000
TERMS	1 – 10 years
RATE RANGE (APR)	7.50% – 11.50% fixed
AMORTIZATION	Fully amortizing; no balloon
USE OF PROCEEDS	Working capital, expansion, acquisition, refinance
COLLATERAL	Blanket UCC-1 typical; real estate / equipment where applicable
COVENANTS	DSCR, TNW, leverage, reporting (see underwriting)

AT A GLANCE

Overview

A Cumulus Business Term Loan is a closed-end, fixed-rate commercial installment loan structured with a defined amortization schedule and a fixed maturity. Term loans are underwritten on the borrower's cash flow and supported by a blanket UCC-1 on business assets; additional collateral may include commercial real estate, titled equipment, securities, or a pledge of ownership interests. Terms and structure are matched to the economic life of the financed asset or initiative, with maturities from one to ten years.

WHY A TERM LOAN

Key benefits

RATE CERTAINTY FOR THE LIFE OF THE LOAN

Rate certainty for the life of the loan

Fixed APR for the entire term — 1 to 10 years — removes rate risk from planning and budgeting cycles.

FLEXIBLE AMOUNTS

Flexible amounts

Commitments from $50,000 for established small businesses up to $5,000,000 for middle-market borrowers.

USE-AGNOSTIC PROCEEDS

Use-agnostic proceeds

Eligible uses include acquisitions, expansion capex, working capital strengthening, equity buyouts, and refinance of existing commercial debt.

MATCHED AMORTIZATION

Matched amortization

Amortization schedule structured to the economic life of the asset or initiative financed — preserves operating cash flow.

CUMULUS RELATIONSHIP MANAGER

Cumulus Relationship Manager

A single Relationship Manager coordinates credit, treasury, deposits, and merchant services; expedited decisioning on straightforward requests.

PREPAYMENT FLEXIBILITY

Prepayment flexibility

Prepayment permitted with a declining prepayment-protection schedule; fully open in the final year of the term.

PRICING

Rate and structure matrix

Rates are fixed at funding based on borrower risk grade, term, collateral coverage, and depository relationship. The matrix below is illustrative; the rate offered to an individual borrower is determined at underwriting.

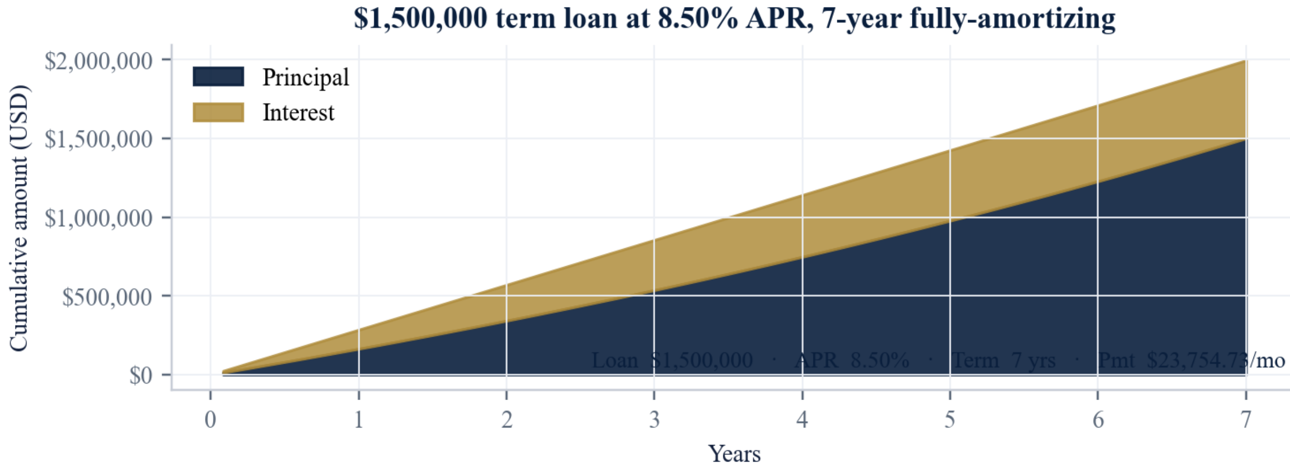
RISK GRADE · DEPOSITORY RELATIONSHIP	3-YEAR TERM	5-YEAR TERM	7-YEAR TERM	10-YEAR TERM
Risk grade 1–2 · full treasury + operating deposits	7.50%	7.75%	8.00%	8.25%
Risk grade 3 · operating deposit relationship	8.00%	8.25%	8.50%	8.75%
Risk grade 4 · partial deposit relationship	8.75%	9.00%	9.25%	9.50%
Risk grade 5 · new client	9.50%	9.75%	10.00%	10.25%
Risk grade 6 · elevated leverage / sector risk	10.25%	10.50%	10.75%	11.00%
Risk grade 7 · specialty / stretch structure	10.75%	11.00%	11.25%	11.50%

FEE	AMOUNT	NOTES
Origination fee	0.50% – 1.00% of commitment	Netted at funding; capitalized to loan balance by election.
Documentation fee	$750 – $2,500	Legal, lien search, UCC filing, title, and recording costs.
Late-payment charge	5.00% of the unpaid installment	Assessed after a 10-day cure period.
Prepayment protection	5-4-3-2-1 declining schedule	Percent of amount prepaid in years 1 through 5; no charge in year 6 and thereafter.
Amendment / modification fee	$1,000 – $5,000	Covers legal review of amendments, reaffirmations, and waivers.

AMORTIZATION

Illustrative principal and interest

The illustration below shows cumulative principal repayment and interest expense for a $1,500,000 commercial term loan at 8.50% APR over a seven-year amortization. Interest expense is front-loaded; principal repayment accelerates over the term.



CREDIT AND LEGAL

Underwriting and documentation

Underwriting parameters

- Minimum debt-service-coverage ratio (DSCR) of **1.25x** on a trailing-twelve-month basis and on a two-year forecast.
- Maximum funded-debt-to-EBITDA leverage of **3.50x** (adjusted for pro-forma acquisitions).
- Minimum tangible-net-worth covenant calibrated to starting TNW less permitted distributions.
- Minimum two years of operating history; exceptions for change-of-control financings supported by sponsor equity.
- Personal guarantee from 20%+ owners; collateral review for each guarantor of material balance.

Documentation required

- Three years of CPA-reviewed or audited business financial statements; current interim (most recent month or quarter).
- Three years of business and personal federal tax returns (with all K-1s and schedules) for borrower and each guarantor.
- Current Accounts Receivable aging and Accounts Payable aging (if AR/AP is material).
- Rolling 13-week cash-flow forecast for the next 12 months.
- Corporate formation documents, operating agreement, and authorizing resolution.
- Property appraisal and environmental Phase I for CRE-secured facilities; equipment appraisal for specialized collateral.

HOW IT WORKS

Process and timeline

STEP	WHAT HAPPENS	TYPICAL TIMING
1 · Initial discussion	Relationship Manager scopes use of proceeds, structure preferences, and timing.	Days 1–5

STEP	WHAT HAPPENS	TYPICAL TIMING
2 · Term sheet	Non-binding indicative term sheet issued with amount, rate, term, collateral, covenants, and fees.	Days 5–10
3 · Formal application	Client submits financial package; Cumulus completes credit analysis, collateral review, and risk rating.	Days 10–25
4 · Credit approval	Credit Committee approval; commitment letter issued.	Days 25–30
5 · Documentation	Loan agreement, promissory note, security agreement, UCC-1, guaranties, and any real-estate / mortgage documents prepared and executed.	Days 30–45
6 · Funding	Proceeds disbursed via wire or internal transfer to borrower's operating account; first-payment date scheduled.	Day 45

ONGOING OBLIGATIONS

Covenants and reporting

COVENANT TYPE	REPRESENTATIVE COVENANTS	TESTED
Financial covenants	DSCR ≥ 1.25x; Funded debt / EBITDA ≤ 3.50x; Minimum TNW calibrated to starting TNW.	Annually (audit) + quarterly (compliance certificate)
Affirmative covenants	Maintain existence, qualifications, insurance, tax status; deliver financials, tax returns, and compliance certificates.	Continuous
Negative covenants	Limitations on additional debt, liens, investments, acquisitions, dispositions, distributions, and transactions with affiliates.	Continuous
Reporting	Annual CPA-reviewed or audited financials within 120 days of fiscal year end; quarterly management-prepared financials within 45 days of quarter end; annual budget at fiscal year start.	Ongoing
Depository	Borrower maintains primary operating account(s) at Cumulus during the term of the loan.	Continuous

CUMULUS CREDIT PARTNERSHIP

Cumulus treats covenants as a partnership tool, not a trap. Your Relationship Manager reviews covenant compliance with you quarterly, flags potential trends early, and works with Credit Administration on waivers or amendments where circumstances warrant, including covenant reset at favorable trigger events.

COMMON QUESTIONS

Frequently asked questions

How long will underwriting take?

A complete file — current financials, tax returns, AR / AP aging, and corporate documents — is typically decisioned within 15 to 25 business days from receipt. Complex structures, acquisitions, and real-estate-secured transactions may run longer due to appraisal and environmental review timing.

What collateral will you take?

A blanket UCC-1 on substantially all business assets is typical. Real estate, titled equipment, pledged securities, and ownership-interest pledges may be required depending on loan amount and risk grade. Cumulus will explicitly outline collateral requirements in the term sheet.

Is a personal guarantee required?

Cumulus generally requires a personal guarantee from each owner holding 20% or more of the borrower. Exceptions are considered for investment-grade corporate borrowers and institutional sponsors.

Can we prepay without penalty?

Prepayment is permitted at any time. A declining 5-4-3-2-1 prepayment-protection fee applies in years 1 through 5; no fee in year 6 and thereafter. Partial prepayments are generally permitted without fee up to 20% of original principal per year.

How is the rate locked?

The rate may be floated to funding, or locked at term-sheet acceptance for up to 45 days subject to a rate-lock fee. For longer lock periods, Cumulus offers a forward-rate lock through its Capital Markets desk.

Can the loan be converted to floating?

Yes. Cumulus offers interest-rate swaps through its Capital Markets desk that convert a fixed-rate term loan to floating (and vice-versa), subject to ISDA documentation and credit limits.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Annual Percentage Rate (APR) shown is representative and based on illustrative borrower credit profiles; the rate offered to an individual applicant may differ materially. All extensions of credit are subject to application, underwriting, and verification of income, employment, assets, and collateral.

§ Disclosures are provided pursuant to the Truth in Lending Act (Regulation Z, 12 C.F.R. Part 1026), the Equal Credit Opportunity Act (Regulation B, 12 C.F.R. Part 1002), and the Real Estate Settlement Procedures Act (Regulation X, 12 C.F.R. Part 1024) where applicable.

§ For real-estate-secured credit, flood-zone determination, title insurance, property appraisal, and hazard insurance are required. Flood insurance is required where the property is located in a Special Flood Hazard Area identified by FEMA.

§ Cumulus Bank, N.A. is an Equal Housing Lender. Residential mortgage products are offered through Cumulus Home Lending, a division of Cumulus Bank, N.A.

§ NMLS Consumer Access: www.nmlsconsumeraccess.org · NMLS ID 2026045.

§ Rates shown are illustrative and do not constitute an offer to extend credit. All extensions of credit are subject to Cumulus Bank's credit underwriting standards, collateral review, and execution of definitive documentation satisfactory to the Bank.

§ Commercial loans are not consumer credit and are not subject to the Truth in Lending Act, the Real Estate Settlement Procedures Act, or Regulation Z except to the limited extent those regulations apply to any commercial lending.

§ Interest-rate swaps and derivative products are offered through Cumulus Capital Markets LLC, an affiliated registered swap dealer. Derivatives carry material risks and are not suitable for all clients.

ENGAGE A SPECIALIST

Connect with a Cumulus commercial banker

A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

COMMERCIAL DESK	954.417.2880 Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET
CLIENT PORTAL	cumulusbank-demo-bb054209d76d.herokuapp.com Apply online, review rates, or schedule an appointment.
TREASURY SERVICES	Commercial banking centers are staffed by appointment. Request a consultation at cumulusbank-demo-bb054209d76d.herokuapp.com/commercial.